Unilever PLC

A glimpse of a pure play HPC future

Q2 shows exactly what UNA ex-Foods will look like: a best-in-class HPC 4-6% OSG compounder with a high share of vol. Most bear arguments were challenged by the print, and it is becoming increasingly clear the MKC deal is the value unlock. Remains a key pick. PT increased to £60/€70 from £57/€66.5.

European Consumer Staples
NEUTRAL
Unchanged

European Consumer Staples

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Barclays View: Unilever delivered another impressive quarter, with **5.8% USG and 5.5% volume growth**, comfortably ahead of both consensus and our expectations. While we expected strength in India, Brazil, Home Care and Wellbeing, the magnitude and breadth of the volume performance surprised positively. Importantly, this was not driven by a single geography, category or brand. Emerging Markets in Q2 delivered **8.3% USG and 7.4% volume growth**, North America accelerated to **3.6% USG and 4.4% volume growth**, while the HPC portfolio continued to perform well. There were a few areas of weakness, especially in Foods where competitive intensity remains elevated in US premium condiments, as well as softer spots within EM that have a handful of legacy Beauty brands such as Pond's and Glow & Lovely. However we believe management will quickly implement corrective actions on those fronts.

We have previously argued that post completion of the McCormick transaction, **Unilever should be one of the fastest-growing names in global staples**, second only to L'Oréal, and this quarter only strengthens that conviction. With broad-based market share gains, improving competitiveness and a HPC portfolio increasingly demonstrating what Unilever ex-Foods will look like, the list of issues for bears to focus on is becoming increasingly narrow, largely limited

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to Foods and the currently low pricing contribution. **Some have argued that Unilever is buying growth with low pricing, and as pricing steps up, so will competition and so volumes will ease. However this is missing the point, no one expects Unilever's volume to continue to grow >5%, it needs to compound at 2-3%. Managing the volume, price, margin equation well in a volatile environment is key, and this is exactly what we think Unilever is doing.**

Importantly, FY26 guidance was upgraded despite expectations for higher inflation, higher pricing and greater elasticity in H2. **Q2-26 is another glimpse of the resilience of the business and what the future Unilever could look like. Top-quartile growth coupled with a bottom-quartile valuation continues to look compelling to us. We remain OW and increase our price target to £60 from £57, and it remains one of our key European Food and HPC picks.**

Our Takeaways from today and looking into the rest of 2026:

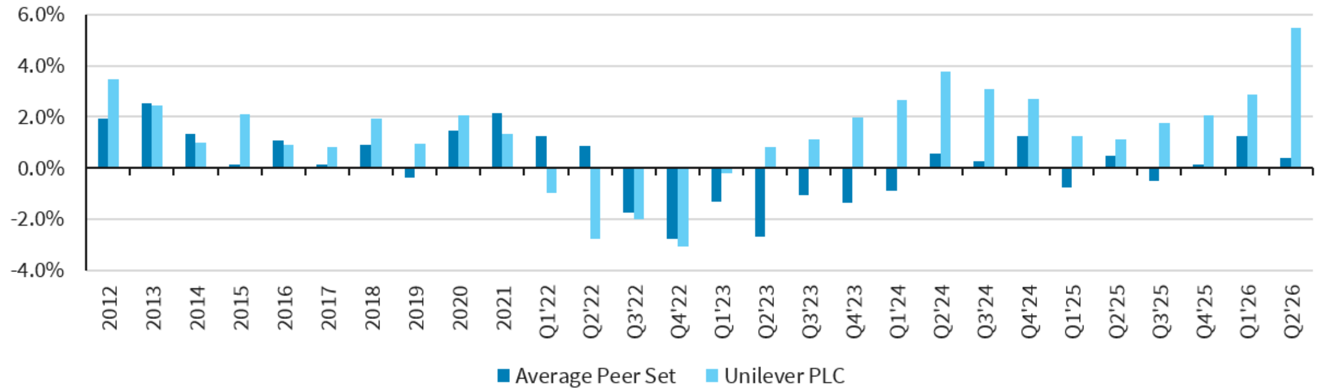
1. Bears still trying to find the negatives but Q2 is yet another proof point of the underlying strength of the business

Despite a standout quarter (5.8% USG, 5.5% volume growth), bears' questions continue to revolve around whether the performance is sustainable and what one-offs may be driving the strength. Questions on the call ranged from sell-in versus sell-out dynamics and potential retailer pre-buying, to the contribution from FIFA activations and Amazon Prime Day timing. When asked about retailer pre-buying ahead of price increases, CEO Fernando Fernandez said: **“Why would we allow retailers to pre-buy at the lower price? You know, that doesn't make a lot of sense. So basically, you should really not consider that there is any significant one-off in the results we have had."**

While there have been some one-offs, including Amazon Prime Day phasing (c.20bps of Q2 growth, or €25-30m of sales) and while the FIFA World Cup activation has undoubtedly been supportive, we think attributing the strength of the quarter primarily to these factors is an oversimplification and risks missing the bigger picture. In our view the heavy lifting is being done by the underlying strength of the business, a result of several years of investment behind the turnaround. Execution and innovation is much improved and Unilever's desirability at scale strategy is very much working in our view.

The progress we are seeing today reflects the cumulative impact of stronger brands, better execution, improved innovation and a portfolio that is increasingly winning market share across categories and geographies. In our view, the more important takeaway is that Unilever is gaining market share consistently and that the business brands are becoming increasingly relevant to consumers, with the group's *Desire at Scale* strategy translating into sustained improvements in competitiveness and broad-based share gains. **The chart below shows Unilever's consistent outperformance vs peers now for more than 3 years. Bigger picture Unilever's average volume growth has been 2.7% over 10 quarters and 3.0% in the last four quarters.**

FIGURE 1. Unilever has been outperforming peers in volume terms for 13 consecutive quarters



Peers include Beiersdorf AG, Church & Dwight Co., Inc., Colgate-Palmolive, Danone, General Mills, Haleon, Henkel, Kimberly-Clark Corp., L'Oréal SA, Mondelez International, Nestle SA, PepsiCo Inc., Procter & Gamble, Reckitt Benckiser Group PLC, The Coca-Cola Company, The Estée Lauder Companies, The Krast Heinz Company, Kenvue
Source: Company Data, Barclays Research Estimates

2. US strength is broad based and goes well beyond Liquid I.V.:

One of the key debates remains whether US growth is being disproportionately driven by Liquid I.V. We think the results once again demonstrated that the US story is much broader than that. North America delivered **3.6% USG and 4.4% volume growth in Q2**, with momentum across Deodorants, Skin Cleansing, Haircare and Prestige Beauty. Dove regained market leadership in US deodorants, Prestige Beauty grew close to **12% in H1**, while Haircare increased by more than **8%**, with management specifically highlighting **Dove Hair growing 20% in the US**. While Liquid I.V. benefited from the Amazon Prime Day phasing effect, the brand overall returned to DD growth and we believe growth of the underlying brand is resilient.

In our view, the current momentum reflects a structurally stronger US business rather than reliance on any single growth engine. Years of portfolio transformation, premiumisation and improved execution are increasingly translating into stronger competitiveness and broader-based market share gains across the portfolio. While Foods was an area of weakness this quarter with premium condiments becoming more competitive, management has already implemented corrective actions and expects a stronger H2.

3. Emerging Markets once again a standout

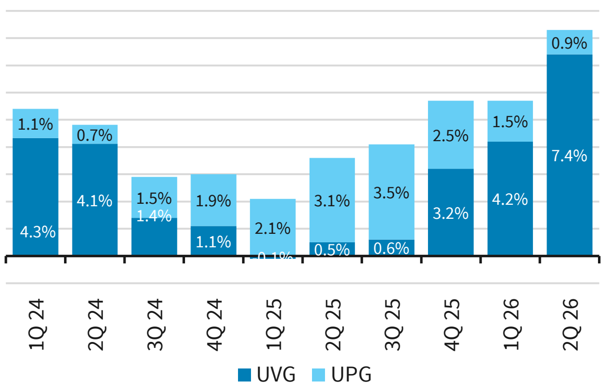
Emerging Markets stole the show once again, delivering **8.3% USG** and **7.4% volume growth**. The strength was broad-based: India delivered 10% growth, Indonesia accelerated to 7%, China returned to MSD growth, while Latin America grew 8.9% with impressive 8.8% volume growth.

Brazil is encouraging, as the corrective actions taken last year are now bearing fruit. Laundry returned to DD growth, Deodorants is recovering and the business is once again contributing positively to group growth. China is not fixed but moving in the right direction with good performance in Food service while Beauty and Premium segments were strong. Management flagged competitive intensity in Beauty and Skin Care digital-first brands and social-commerce channels, but this is not new and is affecting the broader market.

One of the few softer spots within EM remains a handful of legacy Beauty brands such as Pond's and Glow & Lovely as consumer preference is moving toward premium and science-led beauty propositions. However, these are more portfolio rotation issues than anything else, and one that all FMCG companies face from time to time. **We are confident management will address these issues quickly. Given how fast they have been moving over the last two years (Ice**

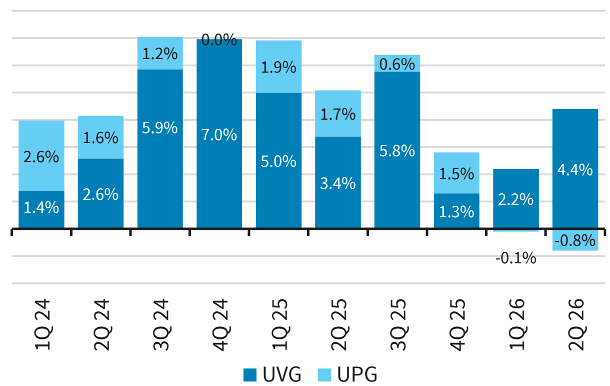
Cream and Foods separation, recent acquisition of Gruns), we view these as relatively minor issues and ones that should be relatively easy to fix.

FIGURE 2. Emerging Markets OSG split by volume/mix and price



Source: Company Data, Barclays Research Estimates

FIGURE 3. North America OSG split by volume/mix and price



Source: Company Data, Barclays Research Estimates

4. Pricing to step up in H2

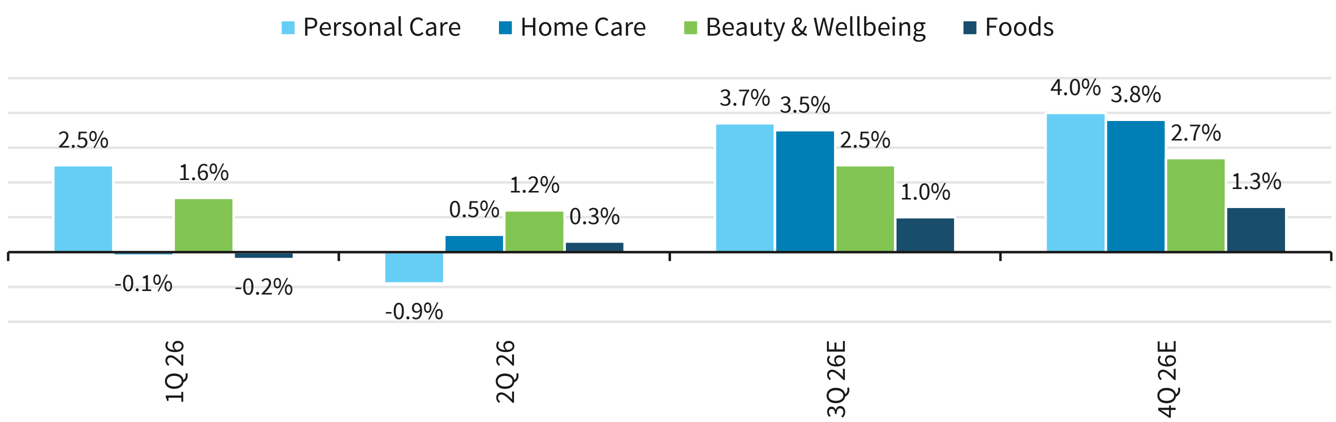
Pricing contribution was limited in the quarter (0.2% out of the 5.8% USG) and in H1 (0.6% out of the 4.8% USG), but pricing is set to become a much more meaningful contributor to growth in H2.

1. Higher inflation to drive pricing actions: Inflation is expected to increase materially in H2, with around €550m of the c.€850m full-year inflation expected to fall in the second half versus c. €300m in H1. As a result, pricing is expected to step up, particularly in Home Care where inflationary pressure is more acute.

2. Prior pricing corrections start to annualise: Several of the competitiveness actions taken over the past 12-18 months are now rolling through the base. The clearest example is Brazil Laundry, where Unilever reset pricing in the powder segment during H1-25 to restore competitiveness and support the turnaround. These corrective actions continued to weigh on reported pricing in H1-26 but will increasingly annualise in H2, allowing pricing to become a more meaningful contributor to growth.

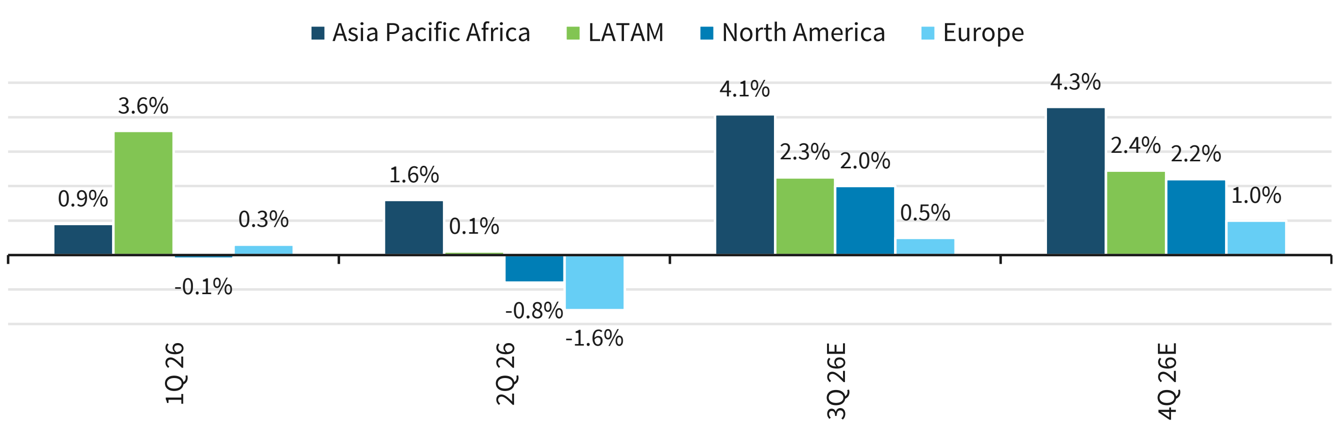
Importantly, management commented that c.90% of the portfolio is now at the desired relative price position versus competitors, with the remaining 10% split roughly evenly between brands that still have scope to premiumise further and brands where there is an opportunity to improve affordability. The business has therefore largely completed the heavy lifting of restoring pricing architecture across key markets. As a result, pricing is increasingly shifting from a competitiveness tool used to rebuild market share towards a more normal lever for recovering higher input costs and protecting profitability.

FIGURE 4. We expect Price growth to step up in H2 across all categories, particularly Personal Care & Home Care



Source: Company Data, Barclays Research Estimates

FIGURE 5. Pricing Growth should step up across all Geos, particularly APAC



Source: Company Data, Barclays Research Estimates

5. Another quarter of standout performance from HPC portfolio, offering a glimpse of Unilever ex-foods

Home Care delivered **9.1% USG and 8.6% volume growth in Q2**, while Personal Care grew **7.1%** and Beauty & Wellbeing **6.7%**, with momentum broad-based across both emerging and developed markets. Prestige Beauty grew close to **12% in H1**, Hair Care increased by more than **8%**, with **Dove Hair growing 20% in the US**, while Dove regained market leadership in US deodorants. Growth also remains skewed towards premium and innovation-led segments, with strong performances from brands such as Dove, Vaseline, Hourglass, Tatcha and K18.

More broadly, Power Brands grew 6.9% in Q2 and 15 of the 30 Power Brands delivered DD growth. While a handful of legacy Beauty brands remain a drag, the broader direction of travel is clear: consumers are increasingly gravitating towards Unilever's premium, science-led and innovation. In our view, the consistency of the HPC performance across categories, geographies and price points is another indication that the operational improvements of the last few years is translating into a structurally stronger business.

FIGURE 6. Unilever has outperformed HPC peers over the last 3 year

	Unilever	HPC Average
Underlying sales growth 3-year CAGR	~5.4%	4.6%
Underlying volume growth 3-year CAGR	~2.5%	0.3%
Gross margin expansion 2023 to 2025	~+290bps	+250bps
Underlying operating margin expansion 2023 to 2025	~+170bps	+120bps

Source: Company report, Barclays Research estimates

6. Brazil tax reform

In Brazil, a new tax reform is being implemented with the objective of simplifying the country's complex multi-layer tax system (previously based on five different tax regimes) into a simpler VAT framework. **This will likely create a Q4'26/Q1'27 phasing effect on volumes, as retailers reduce inventories to adapt to the new tax framework before restocking in the following quarter. However, the impact has not been quantified yet. It is still early days, and we will be looking for further updates ahead of Q4.**

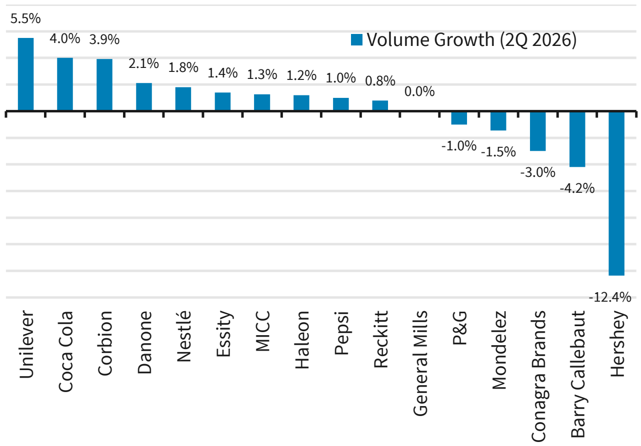
Importantly, this new tax framework is very different from the GST reform implemented in India as there is no consumer benefit from it, rather it is simply quarterly phasing. Instead, it changes how taxes are collected and recovered across the value chain. **Companies will be able to recover a greater proportion of input taxes, meaning reported sales are likely to be lower but costs should also decline, leaving the underlying profitability of the business broadly unchanged.**

7. Update on MKC (more details on this: Link)

McCormick confirmed its intention to establish a secondary London listing alongside its NYSE listing following the completion of the Foods transaction. While details of the listing structure still need to be clarified, index eligibility will be an important watch out as it could allow European Unilever shareholders to receive and hold McCormick shares post-closing, potentially helping to reduce some of the current overhang on UNA shares.

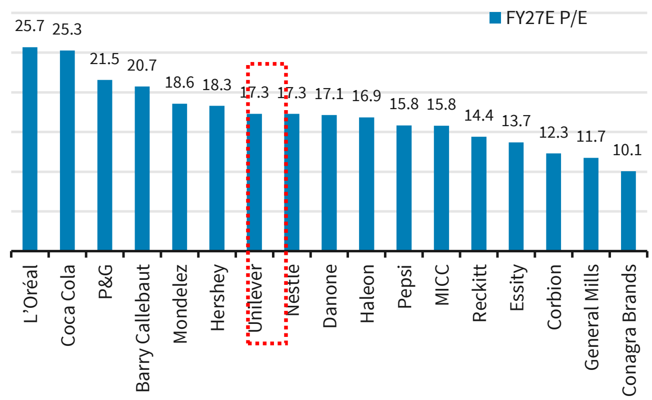
New operating model now in place. The combined company will be organised around four divisions: **Americas Consumer**, **International Consumer**, **Global Food Service** and **Global Flavor**. Leadership responsibilities will be shared between McCormick and Unilever executives, with Heiko Schipper leading International Consumer and Nuria Hernandez leading Global Food Service. Overall, the structure appears designed to combine McCormick's flavour expertise with Unilever Foods' international scale and foodservice capabilities.

FIGURE 7. Unilever delivered one of the best volume growth number in Q2'26 amongst the staples pack so far...



BBG Cons for companies yet to report
Source: Company Data, Barclays Research, BBG Cons

FIGURE 8. ...yet is trading at a FY26 PE of 17.3x; cheaper than most of the staples universe



Source: BBG, Barclays Research

Forecast Changes

- **We raise our Q3, H2 and FY26 OSG forecasts to 4.7% (from 4.6%), 4.6% (from 4.4%) and 4.7% (from 4.3%), respectively**. While we lower volume assumptions in Q3/H2 to 2.1% (from 2.4%) and 1.8% (from 2.2%), this is more than offset by higher pricing assumptions of 2.7% (from 2.1%) and 2.8% (from 2.2%), reflecting a more price-led H2 as inflation recovery actions increasingly flow through.

- **Our upgrades are concentrated in Home Care and Foods,** where FY26 OSG increases to 6.5% (+50bps vs consensus at 5.6%) and 2.0% (+60bps vs Pre Q2 BBG consensus at 1.9%), respectively. We also raise H2 Foods growth to 2.8% (+140bps) and Home Care to 5.4% (+20bps), reflecting improving pricing dynamics and a recovery in Foods. By contrast, we trim Personal Care forecasts (FY26: 5.1%, -30bps; H2: 5.4%, -80bps) following exceptionally strong Q2 trends. Relative to Pre Q2 BBG consensus, we remain most constructive on Home Care (Q3: 6.5% vs 5.3%; FY26: 6.5% vs 5.6%) and Personal Care (FY26: 5.1% vs 4.5%) due to stronger pricing assumptions and continued share gains.

- We upgrade FY26 growth assumptions for North America to 3.1% (+50bps), LATAM to 7.3% (+30bps) and Europe to -0.1% (+20bps). Versus Pre Q2 BBG consensus, we remain particularly constructive on LATAM (7.3% vs 6.9%), Asia Pacific Africa (6.6% vs 5.5%) and North America pricing (0.8% vs 0.4%), reflecting stronger emerging market momentum, continued share gains and greater confidence in pricing recovery. We remain more cautious on Europe, although our FY26 forecast is still ahead of Pre Q2 BBG consensus on volume trends.

- **Volume / Price mix:** Our estimates increasingly diverge from consensus mainly related to pricing rather than volume. For FY26, we forecast 1.7% price growth versus 1.8% Pre Q2 BBG consensus, but 3.0% volume growth versus 2.3% Pre Q2 BBG consensus, reflecting stronger demand momentum across Power Brands and emerging markets. In Q3, our pricing assumptions remain materially higher than Pre Q2 BBG consensus across Personal Care (+106bps), Home Care (+88bps) and North America (+130bps). Unilever is explicitly guiding to around 3% volume growth for the year which is what we assume in our model.

- **EBIT margin:** We leave our FY26 EBIT margin unchanged at 20.2%, consistent with management guidance for modest year-on-year improvement. However, we raise our H2 EBIT margin by 10bps to 20.1%, reflecting stronger pricing, favourable category mix and ongoing productivity benefits. Divisional margin upgrades are concentrated in Beauty & Wellbeing (+20bps to 19.6%), Personal Care (+20bps to 23.6%) and Home Care (+10bps to 14.1%).

- **EPS**: We increase our H2 EPS forecast by 2.3% to €1.67 (from €1.63), driven by stronger pricing mix and margin assumptions. However, we leave our FY26 EPS unchanged at €3.28, as stronger operational delivery is offset by below the line changes such as minority interest income & effective tax rate (underlying effective tax rate of 26% vs 25.7% earlier).

- **We remain OW & change our PT to GBp 6000/€70 (from GBp 5700/€66.5 previously).** Our new PT is driven by relative P/E methodology, at 20x FY27E PE, which is at a 7.5% premium to EU Food & HPC weighted average multiple of 18.6x (from a 5% discount before) and a 16% premium to MSCI EU Staples Index of 17.2x (from a 10% premium before). We increase our premia for Unilever vs peers, as we believe post the separation of Foods UNA will be one of the fastest growing company across staples.

FIGURE 9. Barclays Research Estimate Changes

Change in Estimates												
	2025	1Q - 2026	2Q - 2026	3Q - 2026E			H2 - 2026E			2026E		
	Actual	Actual	Actual	Old	New	Change	Old	New	Change	Old	New	Change
Sales	**50,503**	**13,046**	**13,046**	**13,098**	**12,995**	**-0.8%**	**26,231**	**26,042**	**-0.7%**	**51,716**	**51,665**	**-0.1%**
FX	-5.9%	-7.7%	-2.4%	0.2%	-0.8%	-100	0.1%	-0.9%	-90	-2.5%	-3.0%	-50
Volume	1.5%	2.9%	5.5%	2.4%	2.1%	-30	2.2%	1.8%	-40	2.4%	3.0%	50
Price	2.0%	0.9%	0.3%	2.1%	2.7%	50	2.2%	2.8%	60	1.8%	1.7%	-10
Organic Sales Growth	**3.5%**	**3.8%**	**5.7%**	**4.6%**	**4.7%**	**20**	**4.4%**	**4.6%**	**20**	**4.3%**	**4.7%**	**40**
Beauty & Wellbeing	4.3%	3.6%	8.1%	5.1%	4.7%	-40	4.8%	4.7%	-10	4.5%	5.3%	80
Personal Care	4.7%	3.7%	5.9%	6.2%	5.4%	-80	6.2%	5.4%	-80	5.4%	5.1%	-30
Home Care	2.6%	6.1%	9.1%	5.9%	6.5%	60	5.2%	5.4%	20	6.1%	6.5%	50
Foods	2.5%	2.2%	0.2%	1.0%	2.5%	150	1.3%	2.8%	140	1.4%	2.0%	60
Asia Pacific Africa	4.6%	5.9%	8.8%	6.4%	6.2%	-20	6.2%	6.0%	-20	6.2%	6.6%	40
Americas	3.3%	3.7%	5.7%	4.8%	5.2%	40	4.3%	4.7%	50	4.3%	4.7%	40
North America	5.3%	2.1%	3.6%	2.5%	3.0%	50	2.6%	3.3%	70	2.6%	3.1%	50
LATAM	0.5%	6.2%	8.9%	8.3%	8.5%	20	6.9%	7.0%	10	7.0%	7.3%	30
Europe	1.5%	-0.9%	-1.3%	-0.2%	0.5%	70	0.4%	1.0%	60	-0.3%	-0.1%	20
EBIT	**10,084**						**5,242**	**5,233**	**-0.2%**	**10,436**	**10,426**	**-0.1%**
EBIT Margin	20.0%						20.0%	20.1%	10	20.2%	20.2%	0
Beauty & Wellbeing	19.2%						19.4%	19.6%	20	19.5%	19.5%	0
Personal Care	22.6%						23.4%	23.6%	20	22.9%	22.9%	0
Home Care	14.9%						14.0%	14.1%	10	15.0%	15.0%	0
Foods	22.6%						22.4%	22.3%	0	22.8%	22.8%	0
EPS	**3.08**						**1.63**	**1.67**	**2.3%**	**3.28**	**3.28**	**0.0%**
DPS	1.87									1.93	1.93	0.0%

Source: Barclays Research Estimates

Summary of our Ratings, Price Targets and Earning Estimates

	Rating		Price	Price Target			EPS FY1 (E)			EPS FY2 (E)		
Company	Old	New	28-Jul-26	Old	New	%Chg	Old	New	%Chg	Old	New	%Chg
European Consumer Staples	Neu	Neu										
Unilever PLC (ULVR.AS/UNA NA)	OW	OW	58.39	66.51	**70.00**	5	3.28	3.28	-	3.53	3.53	-
Unilever PLC (ULVR.L/ULVR LN)	OW	OW	4998.00	5,700	**6,000**	5	3.28	3.28	-	3.53	3.53	-

Source: Barclays Research. Share prices and target prices are shown in the primary listing currency and EPS estimates are shown in the reporting currency. FY1(E): Current fiscal year estimates by Barclays Research. FY2(E): Next fiscal year estimates by Barclays Research. Stock Rating: OW: Overweight; EW: Equal Weight; UW: Underweight; RS: Rating Suspended Industry View: Pos: Positive; Neu: Neutral; Neg: Negative Potential +/-: Potential Upside/Downside [1] Percentage change in EPS relative to previous year.

Barclays vs Consensus

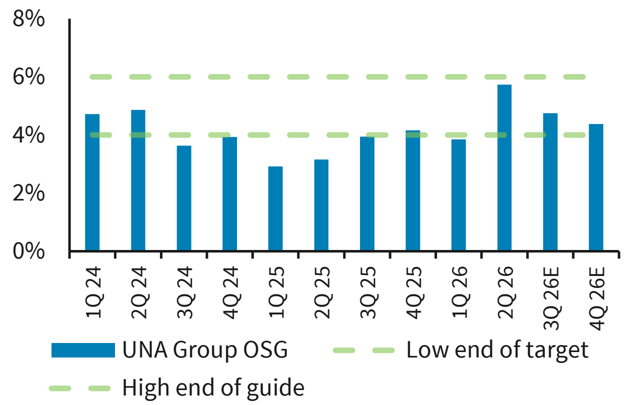
FIGURE 10. **Barclays Research Estimates vs BBG Cons pre Q2**

	3Q-26E			H2-26E			2026E			2027E		
	Barc.	Cons.	Diff (%)	Barclays	Cons.	Change (%)	Barclays	Cons.	Change (%)	Barclays	Cons.	Change (%)
Volume	2.1%	2.0%	10	1.7%	1.8%	-10	3.0%	2.3%	70	2.6%	2.2%	40
Price	2.7%	2.2%	50	2.8%	2.4%	40	1.7%	1.8%	-10	2.0%	2.2%	-10
Group OSG	**4.7%**	**4.2%**	60	**4.6%**	**4.2%**	30	**4.7%**	**4.2%**	50	**4.6%**	**4.4%**	30
Beauty & Wellbeing*	4.7%	4.9%	-20	4.7%	5.3%	-60	5.3%	4.8%	50	5.3%	5.2%	0
Personal Care*	5.4%	4.8%	60	5.4%	5.0%	50	5.1%	4.5%	60	5.3%	4.6%	70
Home Care*	6.5%	5.3%	120	5.4%	5.0%	40	6.5%	5.6%	90	5.7%	5.0%	80
Foods*	2.5%	1.9%	60	2.8%	2.1%	60	2.0%	1.9%	10	2.2%	3.0%	-80
Asia Pacific Africa*	6.2%	6.0%	30	6.0%	6.3%	-30	6.6%	5.5%	110	6.6%	6.0%	60
Americas*	5.2%	4.7%	50	4.7%	4.8%	-10	4.7%	4.5%	20	3.9%	4.7%	-90
Europe*	0.5%	0.6%	-10	1.0%	0.3%	70	-0.1%	0.6%	-70	1.4%	2.6%	-120
Gross Margin*	-	-	-	46.8%	47.4%	-60	46.8%	47.0%	-20	46.0%	46.9%	-100
EBIT Margin	-	-	-	20.1%	20.1%	0	20.2%	20.1%	0	20.4%	20.2%	20
EPS	**-**	**-**	**-**	**1.67**	**1.62**	**3.0%**	**3.28**	**3.22**	**1.6%**	**3.53**	**3.37**	**4.9%**

Source: Company Data,Barclays Research Estimates, BBG Cons

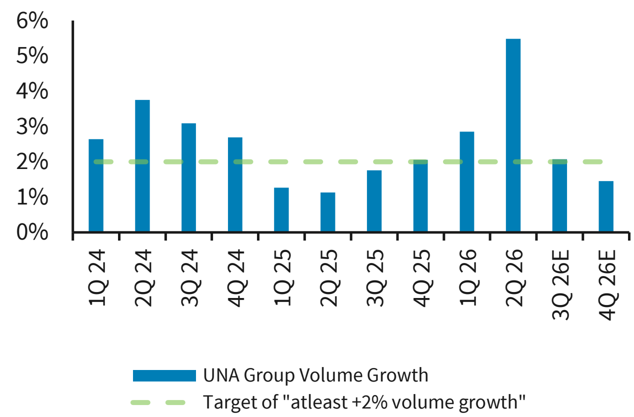
Key Charts – Unilever

FIGURE 11. **Unilever Group OSG vs. +4-6% mid-term target**



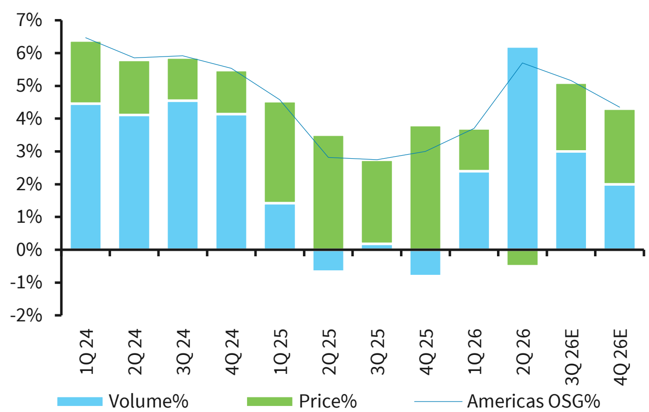
Source: Company Data, Barclays Research estimates

FIGURE 12. **Unilever Group UVG vs. at least +2% mid-term target**



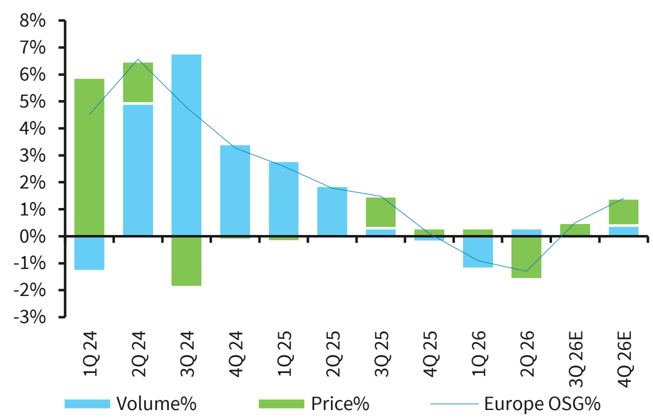
Source: Company Data, Barclays Research estimates

FIGURE 13. **Americas OSG split by volume/mix and price**



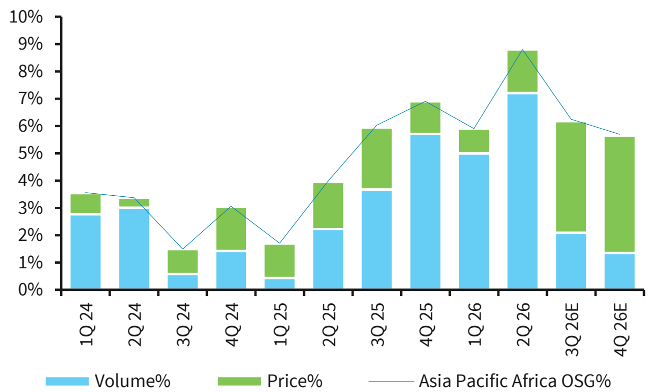
Source: Company Data, Barclays Research estimates

FIGURE 14. **Europe OSG split by volume/mix and price**



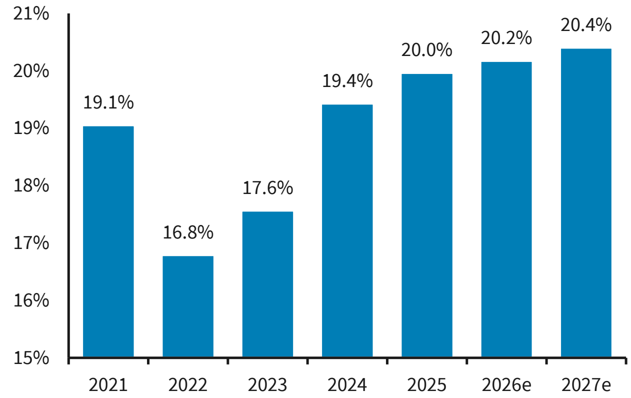
Source: Company Data, Barclays Research estimates

FIGURE 15. Asia Pacific Africa OSG split by volume/mix and price



Source: Company Data, Barclays Research estimates

FIGURE 16. Group Adj. EBIT Margin



Numbers prior to 2023 not restated for Ice Cream Separation
Source: Company Data, Barclays Research estimates

Financial Tables – Unilever

FIGURE 17. Unilever Quarterly growth forecasts by category

Year to December, EUR m	1Q24	2Q24	3Q24	4Q24	FY24	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26	3Q26E	4Q26E	FY26E
Group															
Net Sales	13,175	13,276	12,863	12,939	52,479	12,990	12,567	12,435	12,586	50,503	12,562	13,046	12,995	13,047	51,665
Organic revenue growth, %	4.7%	4.9%	3.6%	3.9%	4.3%	2.9%	3.2%	3.9%	4.2%	3.5%	3.8%	5.7%	4.7%	4.4%	4.7%
Volume growth, %	2.6%	3.8%	3.1%	2.7%	3.1%	1.3%	1.1%	1.8%	2.1%	1.5%	2.9%	5.5%	2.1%	1.5%	3.0%
Price, %	2.1%	1.1%	0.5%	1.2%	1.2%	1.7%	2.1%	2.2%	2.0%	2.0%	0.9%	0.3%	2.7%	2.9%	1.7%
Beauty & Wellbeing															
Net Sales	3,187	3,343	3,276	3,310	13,157	3,280	3,219	3,175	3,189	12,848	3,103	3,403	3,372	3,386	13,267
Organic revenue growth, %	7.4%	6.8%	6.7%	5.2%	6.5%	4.1%	3.4%	5.1%	4.7%	4.3%	3.6%	8.1%	4.7%	4.7%	5.3%
Volume growth, %	5.6%	5.4%	5.7%	3.9%	5.1%	2.5%	1.0%	2.3%	2.8%	2.2%	1.9%	6.9%	2.2%	2.0%	3.3%
Price, %	1.7%	1.3%	0.9%	1.2%	1.3%	1.5%	2.4%	2.7%	1.9%	2.1%	1.6%	1.2%	2.5%	2.7%	2.0%
Personal Care															
Net Sales	3,409	3,531	3,393	3,235	13,618	3,260	3,296	3,316	3,307	13,161	3,278	3,535	3,527	3,460	13,804
Organic revenue growth, %	4.8%	6.4%	4.4%	5.3%	5.3%	5.1%	4.5%	4.1%	5.1%	4.7%	3.7%	5.9%	5.4%	5.5%	5.1%
Volume growth, %	1.4%	4.4%	3.1%	3.6%	3.1%	2.7%	0.2%	1.0%	0.6%	1.1%	1.1%	6.8%	1.7%	1.5%	2.8%
Price, %	3.4%	1.9%	1.3%	1.6%	2.1%	2.4%	4.3%	3.1%	4.5%	3.6%	2.5%	-0.9%	3.7%	4.0%	2.3%
Home Care															
Net Sales	3,191	3,113	2,993	2,960	12,352	3,057	2,865	2,835	2,830	11,565	2,977	3,009	2,985	2,917	11,894
Organic revenue growth, %	3.1%	3.4%	1.9%	3.0%	2.9%	0.9%	1.8%	3.1%	4.7%	2.6%	6.1%	9.1%	6.5%	4.3%	6.5%
Volume growth, %	4.3%	4.9%	3.3%	3.3%	4.0%	1.0%	1.3%	2.5%	4.0%	2.2%	6.2%	8.6%	3.0%	0.5%	4.6%
Price, %	-1.1%	-1.4%	-1.4%	-0.3%	-1.1%	0.0%	0.4%	0.6%	0.7%	0.4%	-0.1%	0.5%	3.5%	3.8%	1.9%
Foods															
Net Sales	3,388	3,289	3,201	3,434	13,352	3,393	3,187	3,109	3,260	12,929	3,204	3,099	3,110	3,284	12,700
Organic revenue growth, %	3.7%	2.7%	1.5%	2.6%	2.6%	1.6%	2.8%	3.4%	2.3%	2.5%	2.2%	0.2%	2.5%	3.0%	2.0%
Volume growth, %	-0.4%	0.4%	0.4%	0.5%	0.2%	-1.1%	1.7%	1.3%	1.3%	0.8%	2.4%	-0.1%	1.5%	1.7%	1.4%
Price, %	4.1%	2.2%	1.1%	2.1%	2.4%	2.7%	1.0%	2.1%	1.0%	1.7%	-0.2%	0.3%	1.0%	1.3%	0.6%
Unilever Group ex. Foods															
Net Sales	9,787	9,987	9,662	9,505	39,127	9,597	9,380	9,326	9,326	37,574	9,358	9,947	9,885	9,763	38,966
Organic revenue growth, %	5.1%	5.6%	4.3%	4.6%	4.9%	3.4%	3.3%	4.1%	4.8%	3.9%	4.4%	7.6%	5.5%	4.9%	5.6%
Volume growth, %	3.7%	4.9%	4.0%	3.6%	4.0%	2.1%	0.8%	1.9%	2.5%	1.8%	3.0%	7.4%	2.3%	1.4%	3.5%

Price, %	1.4%	0.7%	0.4%	0.9%	0.9%	1.3%	2.5%	2.2%	2.4%	2.1%	1.4%	0.2%	3.2%	3.5%	2.1%

Source: Company Data, Barclays Research estimates

FIGURE 18. **Unilever Quarterly growth forecasts by region**

Year to December, EUR m	1Q24	2Q24	3Q24	4Q24	FY24	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26	3Q26E	4Q26E	FY26E
Group															
Net Sales	13,175	13,276	12,863	12,939	52,479	12,990	12,567	12,435	12,586	50,503	12,562	13,046	12,995	13,047	51,665
Organic revenue growth, %	4.7%	4.8%	3.6%	4.0%	4.3%	2.9%	3.1%	3.9%	4.2%	3.5%	3.8%	5.7%	4.7%	4.4%	4.7%
Volume growth, %	2.6%	3.7%	3.1%	2.8%	3.1%	1.2%	1.1%	1.7%	2.1%	1.5%	2.9%	5.6%	2.0%	1.4%	3.0%
Price, %	2.1%	1.0%	0.5%	1.2%	1.2%	1.7%	2.0%	2.1%	2.0%	2.0%	0.9%	0.1%	2.7%	2.9%	1.7%
Asia Pacific Africa															
Net Sales	6,023	5,870	5,772	5,691	23,448	5,887	5,531	5,510	5,497	22,427	5,596	5,694	5,692	5,600	22,590
Organic revenue growth, %	3.6%	3.4%	1.5%	3.1%	2.9%	1.7%	4.0%	6.0%	6.9%	4.6%	5.9%	8.8%	6.2%	5.7%	6.6%
Volume growth, %	2.8%	3.0%	0.6%	1.4%	1.9%	0.4%	2.2%	3.7%	5.7%	3.0%	5.0%	7.2%	2.1%	1.3%	3.9%
Price, %	0.8%	0.4%	0.9%	1.6%	0.9%	1.3%	1.7%	2.3%	1.2%	1.6%	0.9%	1.6%	4.1%	4.3%	2.7%
Americas															
Net Sales	4,837	5,070	4,730	4,831	19,605	4,777	4,680	4,533	4,707	18,622	4,691	5,067	4,950	5,083	19,789
Organic revenue growth, %	6.5%	5.9%	5.9%	5.5%	5.9%	4.6%	2.8%	2.7%	3.0%	3.3%	3.7%	5.7%	5.2%	4.3%	4.7%
Volume growth, %	4.5%	4.1%	4.6%	4.1%	4.3%	1.4%	-0.7%	0.2%	-0.8%	0.0%	2.4%	6.2%	3.0%	2.0%	3.4%
Price, %	1.9%	1.7%	1.3%	1.3%	1.6%	3.1%	3.5%	2.6%	3.8%	3.3%	1.3%	-0.5%	2.1%	2.3%	1.4%
Sales - North America															
Sales	2,686	2,881	2,725	2,847	11,139	2,839	2,809	2,758	2,805	11,211	2,700	3,000	2,841	2,904	11,446
Organic Growth (% YoY)	4.0%	4.2%	7.1%	6.9%	5.5%	7.0%	5.1%	6.4%	2.8%	5.3%	2.1%	3.6%	3.0%	3.5%	3.1%
Volume growth, %	1.4%	2.6%	5.9%	7.0%	4.2%	5.0%	3.4%	5.8%	1.3%	3.8%	2.2%	4.4%	1.0%	1.3%	2.2%
Price, %	2.6%	1.6%	1.2%	0.0%	1.3%	1.9%	1.7%	0.6%	1.5%	1.5%	-0.1%	-0.8%	2.0%	2.2%	0.8%
Sales - LATAM															
Sales	2,151	2,189	2,005	1,984	8,329	1,938	1,871	1,775	1,902	7,486	1,991	2,067	1,926	2,007	7,991
Organic Growth (% YoY)	10.2%	8.3%	4.3%	3.6%	6.5%	1.4%	-0.3%	-2.2%	3.2%	0.5%	6.2%	8.9%	8.5%	5.6%	7.3%
Volume growth, %	9.1%	6.4%	2.8%	0.3%	4.5%	-3.3%	-6.1%	-7.3%	-3.6%	-5.1%	2.6%	8.8%	6.1%	3.0%	5.1%
Price, %	1.0%	1.9%	1.5%	3.3%	1.9%	4.8%	6.2%	5.5%	7.1%	5.9%	3.6%	0.1%	2.3%	2.4%	2.1%
Europe															
Net Sales	2,315	2,336	2,361	2,417	9,426	2,326	2,356	2,392	2,382	9,454	2,275	2,285	2,353	2,365	9,287
Organic revenue growth, %	4.5%	6.6%	4.8%	3.3%	4.8%	2.6%	1.8%	1.5%	0.1%	1.5%	-0.9%	-1.3%	0.5%	1.4%	-0.1%
Volume growth, %	-1.3%	4.9%	6.8%	3.4%	3.5%	2.8%	1.9%	0.3%	-0.2%	1.2%	-1.2%	0.3%	0.0%	0.4%	-0.1%
Price, %	5.9%	1.6%	-1.9%	-0.1%	1.2%	-0.2%	-0.1%	1.2%	0.3%	0.3%	0.3%	-1.6%	0.5%	1.0%	0.1%

Source: Company Data, Barclays Research estimates

FIGURE 19. **Unilever P&L forecasts**

Year to December, EUR m	2024	2025	2026 E	2027 E
Sales	**52,479**	**50,503**	**51,665**	**54,483**
% change	1.5%	-3.8%	2.3%	5.5%
COGS	-27,976	-26,794	-27,488	-29,423
Gross profit	**24,503**	**23,709**	**24,177**	**25,060**
Gross margin	**46.7%**	**46.9%**	**46.8%**	**46.0%**
Change in gross margin (bp)	315	25	-15	-80
Underlying Operating Profit	**10,198**	**10,084**	**10,426**	**11,118**
Margin %	**19.4%**	**20.0%**	**20.2%**	**20.4%**
Change in margin (bp)	186	53	21	23
Operating Profit	8,829	9,037	9,350	9,979
Net finance costs	-520	-503	-480	-441
Share of net profit of JVs and associates	250	245	266	280
Other income (from non-current investments)	13	-17	42	42
PBT (underlying)	**9,524**	**9,529**	**9,988**	**10,719**
PBT	8,371	8,694	9,111	9,792
Tax	-2,332	-2,481	-2,565	-2,759
Underlying effective tax	-2,505	-2,449	-2,597	-2,787
Underlying effective tax rate (%)	26.3%	25.7%	26.0%	26.0%
Minorities	-609	-531	-509	-539
Attributable net profit : Continuing Operations	**5,430**	**5,682**	**6,037**	**6,494**
Attributable net profit (Underlying)	**6,816**	**6,761**	**7,149**	**7,672**
Reported diluted EPS (Continuing Operation)	2.44	2.59	2.77	2.99
Adj EPS (Underlying)	**3.06**	**3.08**	**3.28**	**3.53**
% change	13.4%	0.7%	6.4%	7.9%
DPS	**1.81**	**1.87**	**1.93**	**2.01**
Payout ratio	59.2%	60.6%	58.9%	56.8%
DPS growth (%)	13.4%	0.7%	3.5%	4.0%

Source: Company Data, Barclays Research estimates

FIGURE 20. **Unilever Cash Flow Statement forecasts**

Year to December, EUR m	2024	2025	2026 E	2027 E
Operating Activities				
Reported operating profit	**8,829**	**9,037**	**9,350**	**9,979**
Depreciation, Amortisation & Impairment	1,370	1,353	1,384	1,460
Pensions & Similar Provisions	-54	-74	-74	0
Provisions less Payments	289	-130	0	0
Elimination of (profits)/losses on disposals	259	58	0	0
Non-cash Charge FPr Share-based Compensation	292	255	0	0
Other Adjustments	116	157	0	0
Change in Working Capital	**-188**	**116**	**165**	**521**
Cash Flow from operating activities	**10,913**	**10,772**	**10,825**	**11,960**
Net cash interest	-559	-666	-628	-589
Net cash tax	-2,452	-2,720	-2,565	-2,759
JV and associate dividends	261	243	266	280
Minority dividends	-487	-425	-407	-432
Net CapEx	**-1,599**	**-1,465**	**-1,602**	**-1,634**
Net Intangible investment	-741	1,020	1,044	1,101
Free cash flow	**6,303**	**5,921**	**6,005**	**6,953**
Net acquisitions	69	-1,439	600	0
Dividends Paid	**-4,319**	**-4,453**	**-4,214**	**-4,359**
Share Buy-back	-1,508	-1,510	-1,500	-1,500
Other	-391	2,584	0	0
Change in net debt before FX	**-814**	**1,941**	**1,794**	**2,042**
FX Impact	-48	-498	0	0
Net cash flow	**-862**	**1,443**	**1,794**	**2,042**
Net debt (cash) at start of period	**23,657**	**24,519**	**23,076**	**21,282**
Net debt (cash) at end of period	**24,519**	**23,076**	**21,282**	**19,239**

Source: Company Data, Barclays Research estimates

FIGURE 21. Unilever Balance Sheet forecasts

Year to December, EUR m	2024	2025	2026 E	2027 E
Assets				
Goodwill	22,311	17,709	17,109	17,109
Intangible Assets	18,590	17,055	15,447	13,778
Property, Plant & Equipment	11,669	8,992	9,774	10,517
Pension Asset	4,164	4,462	4,610	4,758
Deferred Taxes	1,280	1,146	1,146	1,146
Other Non-current Assets	2,542	4,041	4,041	4,041
Total Non-current Assets	**60,556**	**53,405**	**52,127**	**51,349**
Inventories	5,177	4,043	4,072	4,278
Trade & Other Receivables	6,011	7,346	7,515	7,925
Current Tax Assets	373	329	329	329
Cash & Cash Equivalents	6,136	3,941	3,941	3,941
Other Financial Assets	1,330	1,121	1,121	1,121
Assets Held For Sale	167	286	286	286
Total Current Assets	**19,194**	**17,066**	**17,265**	**17,880**
Total Assets	**79,750**	**70,471**	**69,391**	**69,230**
Liabilities				
Long-term Debt	25,066	25,696	23,902	21,859
Non-current Tax Liabilities	585	303	303	303
Pension Liabilities	1,194	944	870	870
Provisions	571	539	539	539
Deferred Tax Liabilities	4,342	3,603	3,603	3,603
Other Non-current Liabilities	203	137	137	137
Total Non-current Liabilities	**31,961**	**31,222**	**29,354**	**27,311**
Short-term Debt	6,987	2,582	2,582	2,582
Trade Payables	16,690	16,939	17,303	18,440
Current Tax Liabilties	678	1,439	1,439	1,439
Provisions	831	589	589	589
Liabilities Held For Sale	48	113	113	113
Total Current Liabilities	**25,234**	**21,662**	**22,026**	**23,163**
Total Liabilities	**57,195**	**52,884**	**51,379**	**50,474**
Equity				
Shareholders' Equity	19,990	15,530	15,853	16,489
Minority Interests	2,565	2,057	2,159	2,267
Total Equity	**22,555**	**17,587**	**18,012**	**18,755**

Source: Company Data, Barclays Research estimates

European Consumer Staples | NEUTRAL

Unilever PLC (ULVR.L)

OVERWEIGHT

Income statement (€mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	50,503	51,665	54,483	57,033	4.1%
EBITDA (adj)	11,437	11,810	12,578	13,335	5.3%
EBIT (adj)	10,084	10,426	11,118	11,807	5.4%
Pre-tax income (adj)	9,529	9,988	10,719	11,755	7.2%
Net income (adj)	6,761	7,149	7,672	8,362	7.3%
EPS (adj) (€)	3.08	3.28	3.53	3.87	7.9%
Diluted shares (mn)	2,195.3	2,182.4	2,170.6	2,159.7	-0.5%
DPS (€)	1.87	1.93	2.01	2.20	5.6%
Margin and return data	**2025A**	**2026E**	**2027E**	**2028E**	**Average**
EBITDA (adj) margin (%)	22.6	22.9	23.1	23.4	23.0
EBIT (adj) margin (%)	20.0	20.2	20.4	20.7	20.3
Pre-tax (adj) margin (%)	18.9	19.3	19.7	20.6	19.6
Net (adj) margin (%)	13.4	13.8	14.1	14.7	14.0
ROA (%)	9.4	10.9	11.9	12.5	11.2
ROE (%)	38.1	45.6	47.4	49.3	45.1
ROCE (%)	13.7	16.3	17.9	N/A	16.0
Cash flow and balance sheet (€mn)	**2025A**	**2026E**	**2027E**	**2028E**	**CAGR**
Cash flow from operations	10,772	10,825	11,960	12,349	4.7%
Cash flow from investing	-1,884	42	-534	-559	N/A
Cash flow from financing	-6,145	-5,855	-6,011	-6,708	N/A
Capital expenditure	-1,465	-1,602	-1,634	-1,711	N/A
Equity free cash flow	5,921	6,005	6,953	7,270	7.1%
Tangible fixed assets	8,992	9,774	10,517	11,269	7.8%
Intangible fixed assets	34,764	32,556	30,887	29,166	-5.7%
Cash and equivalents	5,202	5,202	5,202	5,202	0.0%
Total assets	70,471	69,391	69,230	69,191	-0.6%
Short and long-term debt	28,278	26,484	24,441	22,727	-7.0%
Total liabilities	52,884	51,379	50,474	49,361	-2.3%
Shareholders' equity	15,530	15,853	16,489	17,448	4.0%
Net debt/(funds)	23,076	21,282	19,239	17,525	-8.8%
Valuation and leverage metrics	**2025A**	**2026E**	**2027E**	**2028E**	**Average**
P/E (adj) (x)	19.0	17.8	16.5	15.1	17.1
EV/sales (x)	4.0	3.8	3.6	3.4	3.7
EV/EBITDA (adj) (x)	17.5	16.7	15.5	14.4	16.0
EV/EBIT (adj) (x)	19.8	18.9	17.5	16.3	18.1
Equity FCF yield (%)	4.6	4.7	5.5	5.8	5.1
P/BV (x)	7.3	7.1	6.8	6.4	6.9
Dividend yield (%)	3.2	3.3	3.4	3.8	3.4
Net debt/EBITDA (adj) (x)	2.0	1.8	1.5	1.3	1.7
Selected operating metrics	**2025A**	**2026E**	**2027E**	**2028E**	**Average**
Organic sales growth (%)	3.5	4.7	4.6	4.7	4.4
Tax rate (%)	19	19	19	19	19
Capex/sales (%)	2.9	3.1	3.0	3.0	3.0

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (28-Jul-2026)	**GBp 4,998**
Price Target	**GBp 6,000**

Why OVERWEIGHT?

We think Unilever offers attractive risk/reward. New CEO Fernando Fernandez comes across to us as a real operator who understands the challenges. We think Path to growth 2.0 makes sense, with reinvestment in the billionaire brands, while we see scope for value unlock from the new organisational structure and synergies from the change to a regional focus.

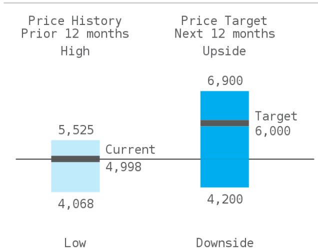
Upside case **GBp 6,900**

Emerging Markets (58% of sales) return to historical 25-year growth of 8-9% vs. current consensus of 5-6%; Unilever delivers better pricing in Europe; the Food business recovers following a long period of challenged performance, especially in Indonesia.

Downside case **GBp 4,200**

Margin reset, especially in Beauty & Personal Care, drives downgrades; FX weakness and downtrading in EM impact gross margins; Unilever's global market share trends to <40% of its portfolio holding or gaining share.

Upside/Downside scenarios



European Consumer Staples NEUTRAL

Unilever PLC (ULVR.AS)

OVERWEIGHT

Income statement (€mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	50,503	51,665	54,483	57,033	4.1%
EBITDA (adj)	11,437	11,810	12,578	13,335	5.3%
EBIT (adj)	10,084	10,426	11,118	11,807	5.4%
Pre-tax income (adj)	9,529	9,988	10,719	11,755	7.2%
Net income (adj)	6,761	7,149	7,672	8,362	7.3%
EPS (adj) (€)	3.08	3.28	3.53	3.87	7.9%
Diluted shares (mn)	2,195.3	2,182.4	2,170.6	2,159.7	-0.5%
DPS (€)	1.87	1.93	2.01	2.20	5.6%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	22.6	22.9	23.1	23.4	23.0
EBIT (adj) margin (%)	20.0	20.2	20.4	20.7	20.3
Pre-tax (adj) margin (%)	18.9	19.3	19.7	20.6	19.6
Net (adj) margin (%)	13.4	13.8	14.1	14.7	14.0
ROA (%)	9.4	10.9	11.9	12.5	11.2
ROE (%)	38.1	45.6	47.4	49.3	45.1
ROCE (%)	13.7	16.3	17.9	N/A	16.0

Cash flow and balance sheet (€mn)	2025A	2026E	2027E	2028E	CAGR
Cash flow from operations	10,772	10,825	11,960	12,349	4.7%
Cash flow from investing	-1,884	42	-534	-559	N/A
Cash flow from financing	-6,145	-5,855	-6,011	-6,708	N/A
Capital expenditure	-1,465	-1,602	-1,634	-1,711	N/A
Equity free cash flow	5,921	6,005	6,953	7,270	7.1%
Tangible fixed assets	8,992	9,774	10,517	11,269	7.8%
Intangible fixed assets	34,764	32,556	30,887	29,166	-5.7%
Cash and equivalents	5,202	5,202	5,202	5,202	0.0%
Total assets	70,471	69,391	69,230	69,191	-0.6%
Short and long-term debt	28,278	26,484	24,441	22,727	-7.0%
Total liabilities	52,884	51,379	50,474	49,361	-2.3%
Shareholders' equity	15,530	15,853	16,489	17,448	4.0%
Net debt/(funds)	23,076	21,282	19,239	17,525	-8.8%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	19.0	17.8	16.5	15.1	17.1
EV/sales (x)	4.0	3.8	3.6	3.4	3.7
EV/EBITDA (adj) (x)	17.5	16.7	15.5	14.5	16.0
EV/EBIT (adj) (x)	19.8	18.9	17.5	16.3	18.1
Equity FCF yield (%)	4.6	4.7	5.5	5.8	5.1
P/BV (x)	7.3	7.1	6.8	6.4	6.9
Dividend yield (%)	3.2	3.3	3.4	3.8	3.4
Net debt/EBITDA (adj) (x)	2.0	1.8	1.5	1.3	1.7

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Organic sales growth (%)	3.5	4.7	4.6	4.7	4.4
Tax rate (%)	19	19	19	19	19
Capex/sales (%)	2.9	3.1	3.0	3.0	3.0

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (28-Jul-2026)	**EUR 58.39**
Price Target	**EUR 70.00**

Why OVERWEIGHT?

We think Unilever offers attractive risk/reward. New CEO Fernando Fernandez comes across to us as a real operator who understands the challenges. We think Path to growth 2.0 makes sense, with reinvestment in the billionaire brands, while we see scope for value unlock from the new organisational structure and synergies from the change to a regional focus.

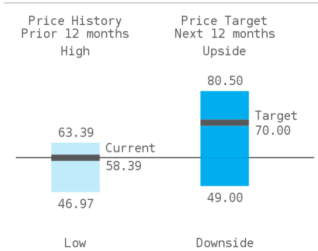
Upside case **EUR 80.50**

Emerging Markets (58% of sales) return to historical 25-year growth of 8-9% vs. current consensus of 5-6%; Unilever delivers better pricing in Europe; the Food business recovers following a long period of challenged performance, especially in Indonesia.

Downside case **EUR 49.00**

Margin reset, especially in Beauty & Personal Care, drives downgrades; FX weakness and downtrading in EM impact gross margins; Unilever's global market share trends to <40% of its portfolio holding or gaining share.

Upside/Downside scenarios



Valuation Methodology and Risks

European Consumer Staples

Unilever PLC (ULVR LN / ULVR.L)

Valuation Methodology: Our GBp 6000 PT is driven by relative P/E methodology, at 20x FY27E PE, which is at a 7.5% premium to EU Food & HPC weighted average multiple of 18.6x and a 16% premium to MSCI EU Staples Index of 17.2x.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) Losses in out-of-home Foods & Refreshments exceed in-home consumption benefits in Foods and stronger Home/Hygiene growth post Covid-19, leading to significantly lower top-line growth than we expect; 2) the company's key market of India (11% of sales) doesn't perform as expected; 3) A sharp slowdown in the company's key LatAm markets (Brazil, Mexico, Argentina, Chile) hurts its growth prospects; and 4) competitor market share gains accelerate, further pressuring Unilever's already weak top-line growth. 5) European trends are under pressure with Food (Knorr) a weak spot. 6) FX risks given highest EM weight in Staples. 8) If it fails to maintain strong growth for Powerbands.

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Source: Barclays Research

Analyst(s) Certification(s):
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Primary Stocks (Ticker, Date, Price)
Unilever PLC (ULVR.AS, 28-Jul-2026, EUR 58.39), Overweight/Neutral, CD/J/K/M

Unilever PLC (ULVR.L, 28-Jul-2026, GBp 4998), Overweight/Neutral, CD/J/K/M

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In addition to the stock rating, we provide industry views which rate the outlook for the industry coverage universe as Positive, Neutral or Negative (see definitions below). A rating system using terms such as buy, hold and sell is not the equivalent of our rating system. Investors should carefully read the entire research report including the definitions of all ratings and not infer its contents from ratings alone.

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Overweight - The stock is expected to outperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Equal Weight - The stock is expected to perform in line with the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Underweight - The stock is expected to underperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

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Positive - industry coverage universe fundamentals/valuations are improving.

Neutral - industry coverage universe fundamentals/valuations are steady, neither improving nor deteriorating.

Negative - industry coverage universe fundamentals/valuations are deteriorating.

Below is the list of companies that constitute the "industry coverage universe":

European Consumer Staples

AG Barr (BAG.L)	AIR Global (AIIR.OQ)	Altria Group Inc. (MO)
Anheuser-Busch InBev (ABI.BR)	Associated British Foods (ABF.L)	Barry Callebaut (BARN.S)
Beiersdorf AG (BEIG.DE)	British American Tobacco Plc (BATS.L)	C&C Group (CCR.L)
Carlsberg AS-B (CARLb.CO)	Coca-Cola Hellenic BC AG (CCH.L)	Danone (DANO.PA)
Davide Campari N.V. (CPRI.MI)	Diageo PLC (DGE.L)	Essity (ESSITYb.ST)

Fever-Tree Drinks PLC (FEVR.L)	Glanbia (GL9.I)	Haleon (HLN.L)
Haypp Group (HAYPP.ST)	Heineken NV (HEIN.AS)	Henkel (HNKG_p.DE)
Imperial Brands Plc (IMB.L)	Japan Tobacco Inc. (JAPAY)	Kerry Group (KYGa.L)
L'Oréal SA (OREP.PA)	Leroy Seafood Group ASA (LSG.OL)	Lindt & Spruengli (LISN.S)
Logista (LOG.MC)	Mowi (MOWI.OL)	Nestle SA (NESN.S)
Pernod-Ricard SA (PERP.PA)	Philip Morris International Inc. (PM)	Reckitt Benckiser Group PLC (RKT.L)
Rémy Cointreau (RCOP.PA)	Salmar ASA (SALM.OL)	Suedzucker AG (SZUG.DE)
Tate & Lyle (TATE.L)	The Magnum Ice Cream Company B.V. (MICCT.AS)	Unilever PLC (ULVR.AS)
Unilever PLC (ULVR.L)		

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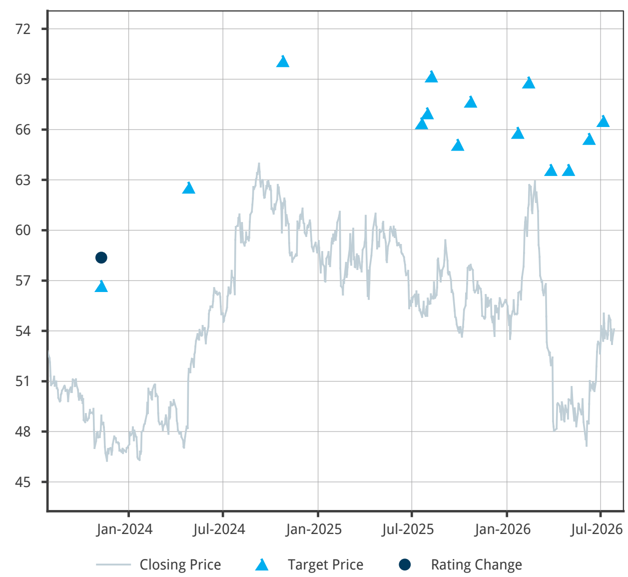
Unilever PLC (UNA NA / ULVR.AS)

Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **EUR 58.39** (28-Jul-2026)

Rating and Price Target Chart (as of 28-Jul-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
06-Jul-2026	54.08		66.51	EUR
09-Jun-2026	49.65		65.44	EUR
30-Apr-2026	49.93		63.59	EUR
27-Mar-2026	52.18		63.59	EUR
12-Feb-2026	61.53		68.80	EUR
22-Jan-2026	55.05		65.80	EUR
23-Oct-2025	57.77		67.66	EUR
28-Sep-2025	54.00		65.09	EUR
08-Aug-2025	55.93		69.16	EUR
31-Jul-2025	55.93		66.96	EUR
20-Jul-2025	54.84		66.37	EUR
25-Oct-2024	61.61		70.07	EUR
26-Apr-2024	51.74		62.54	EUR
09-Nov-2023	48.94	Overweight	56.67	EUR

On 28-Jul-2023, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 55.76 EUR.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our EUR 70 PT is driven by relative P/E methodology, at 20x FY27E PE, which is at a 7.5% premium to EU Food & HPC weighted average multiple of 18.6x and a 16% premium to MSCI EU Staples Index of 17.2x.

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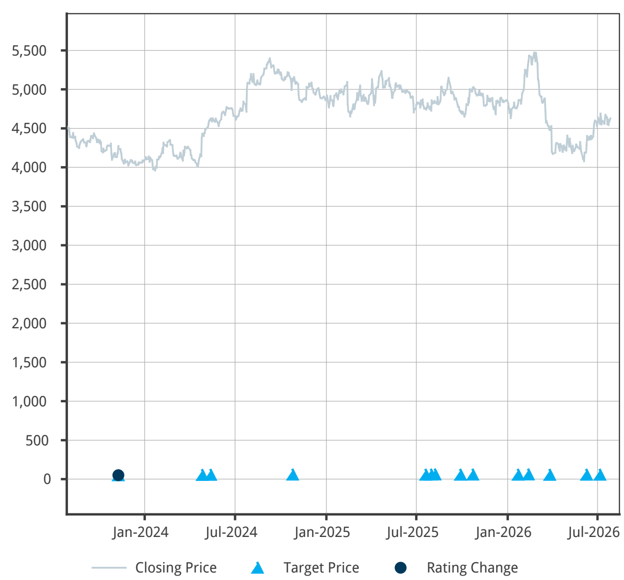
Unilever PLC (ULVR LN / ULVR.L)

Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **GBp 4998** (28-Jul-2026)

Rating and Price Target Chart (as of 28-Jul-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
06-Jul-2026	46.20		57.00	GBP
09-Jun-2026	42.85		56.50	GBP
27-Mar-2026	44.85		55.00	GBP
12-Feb-2026	53.55		60.00	GBP
22-Jan-2026	47.85		57.00	GBP
23-Oct-2025	50.28		58.98	GBP
28-Sep-2025	47.04		56.83	GBP
08-Aug-2025	48.26		60.05	GBP
31-Jul-2025	48.59		57.90	GBP
20-Jul-2025	47.42		57.37	GBP
25-Oct-2024	51.36		58.44	GBP
13-May-2024	46.26		55.76	GBP
26-Apr-2024	44.32		53.61	GBP
09-Nov-2023	42.73	Overweight	49.33	GBP

On 28-Jul-2023, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 46.11 GBP.

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